

Professional Online Academy Vu Topper RM



ECO-403 Macroeconomics Update MCQ'S Final Term By Vu Topper RM



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Question No:1**(Marks:1)****Vu-Topper RM**

In Solow model, national income identity in per worker terms:

- A. $Y = C + I + S$
- B. $Y = C + I$**
- C. $y = c + i$
- D. $Y = C + I + T$

Question No:2**(Marks:1)****Vu-Topper RM**

According to aggregate demand (AD) & aggregate supply (AS) analysis; the favorable supply shock will -----output-----inflation and increase employment.

- A. Increase; Increase**
- B. Decrease; Decrease
- C. Increase; Decrease
- D. Decrease; Increase

Question No:3**(Marks:1)****Vu-Topper RM**

Due to a positive demand shock, aggregate demand curve will:

- A. Shift towards right.**
- B. Remain the same.
- C. Become vertical.
- D. Shift towards left.

Question No:4**(Marks:1)****Vu-Topper RM**

In the Solow growth model with technological growth, $k = K / (L \times E)$ shows-----per effective worker.

- A. Labor
- B. Output
- C. Output & labor
- D. Capital**

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Question No:5

(Marks:1)

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When tax decreases then the disposable income (Y_d) -----and consumption-----

A. Increases; increases

B. Increases; decrease

C. Decreases; increases

D. Decreases; decreases

Question No:6

(Marks:1)

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In the steady state -----does not change because investment equal to-----

A. Capital; saving.

B. Capital; depreciation.

C. Investment; saving.

D. Investment; consumption.

Question No:7

(Marks:1)

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Investment causes the capital stock to rise while ----- causes capital stock to fall.

A. Depreciation

B. Deflation

C. Inflation

D. Discount rate

Question No:8

(Marks:1)

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IS curve is -----

A. Horizontal.

B. Vertical.

C. Positively sloped.

D. Negatively sloped.

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Question No:9

(Marks:1)

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An expansionary monetary policy shifts -----to the-----

A. LM curve; right.

B. LM curve; left.

C. IS curve; right.

D. IS curve; left.

Question No:10

(Marks:1)

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The two important factors of production are-----

A. Labor and capital.

B. Machine and investment.

C. Labor and electricity.

D. Land and goods.

Question No:11

(Marks:1)

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If government decreases the tax it would -----income and -----the consumption.

A. Decrease, increase

B. Increase, decrease

C. Decrease, decrease

D. Increase, increase

Question No:12

(Marks:1)

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When tax increases then disposable income (Y_d) -----and consumption-----

A. Increases; increases

B. Increases; decreases.

C. Decreases; decreases.

D. Decreases; increases

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Question No:13

(Marks:1)

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Change in capital stock is equal to----- minus depreciation.

- A. Saving
- B. National saving
- C. Stock
- D. Investment**

Question No:14

(Marks:1)

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The sticky wage model of the aggregate supply says that when the -----
-- less than expected price, the real wage raises so employment -----

- A. Expected price level; rises.
- B. Price level; falls.
- C. Price level; rises.
- D. Expected price level; falls.**

Question No:15

(Marks:1)

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In the -----model, capital exhibits diminishing returns. In a basic ---
----- model, capital exhibits constant returns.

- A. Endogenous growth; Solow growth
- B. Solow growth; endogenous growth**
- C. Solow growth; Population growth
- D. Population growth; Endogenous growth

Question No:16

(Marks:1)

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Keynes consumption function is -----.

- A. $C = a - cY_d$
- B. $C = a + cY_d$**
- C. $C = a - c(Y_d - Y)$
- D. $C = a * cY(Y - T)$

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Question No:17

(Marks:1)

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In the Mundell Fleming model, LM* curve equation is-----

- A. $M/P = L(r^* + Y)$.**
- B. $M/P = L + (r^* + Y)$.
- C. $M/P = L(r^* - Y)$.
- D. $M/P = L(r^*, Y)$

Question No:18

(Marks:1)

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Nominal wage = target real wage multiply by-----

- A. Labor.
- B. Quantity.
- C. Price.
- D. Expected price level.**

Question No:19

(Marks:1)

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A graph of all combinations of income (Y) and interest rate (r) that results in goods market equilibrium is called:

- A. Money demand curve
- B. LM curve
- C. IS curve**
- D. Money supply curve

Question No:20

(Marks:1)

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Due to decrease in money supply, aggregate demand curve will:

- A. Become vertical.
- B. Shift towards right.
- C. Remain the same.
- D. Shift towards left**

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Question No:21

(Marks:1)

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In macro-economics the word aggregate means-----

- A. Individual.
- B. One.
- C. Totals.**
- D. Particular.

Question No:22

(Marks:1)

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In the solow model with technological progress, the steady state growth rate of output per worker is -----

- A. $n + g$.**
- B. G.
- C. Zero.
- D. One.

Question No:23

(Marks:1)

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If labor productivity per week is 100 units and there are 5 employees.
What is the total output?

- A. 100 units
- B. 105 units
- C. 500 units**
- D. 20 units

Question No:24

(Marks:1)

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Investment causes the capital stock to----- while depreciation causes capital stock to -----

- A. Fall; rise.
- B. Rise; rise.
- C. Fall; fall.
- D. Rise; fall.**

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Question No:25

(Marks:1)

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The shape of short run aggregate supply curve (SRAS) is -----

- A. Convex to the origin.
- B. Concave to the origin.**
- C. Horizontal.
- D. Vertical.

Question No:26

(Marks:1)

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Suppose the price of product "X" increases due to increase in price of raw material. This is the example of -----

- A. Hyperinflation.
- B. Demand pull inflation.
- C. Cost push inflation.**
- D. Disinflation.

Question No:27

(Marks:1)

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The policy actions aimed to reduce the severity of ----- economic fluctuations is known as-----

- A. Long run; Trade policy.
- B. Short run; Stabilization policy.**
- C. Short run; Fiscal policy.
- D. Long run; Monetary policy.

Question No:28

(Marks:1)

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In the Solow model with technological progress, the steady state growth rate of capital per effective worker is -----

- A. $n + g$.
- B. Zero.**
- C. One.
- D. $n - g$.

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Question No:29

(Marks:1)

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Currency exchange rate which is determined by free market forces is called -----

- A. Exchange rate.
- B. Floating exchange rate.**
- C. Pegged exchange rate.
- D. Fixed exchange rate.

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